INSURING INDIA'S GROWTH ENGINE: A STRATEGIC VISION FOR MSMES

In an exclusive conversation, Mrs. Girija Subramanian, Chairman & Managing Director of New India Assurance, shares insights into the company's ambitious 'Year of SME' initiative for 2025 and how the public sector insurer plans to bridge the massive protection gap in India's 66-million strong MSME ecosystem.



Q What strategic factors led New India Assurance to declare 2025 as its 'Year of SME'?

Our decision stems from compelling data and market realities. Internal assessments revealed that less than 15% of India's 66 million MSMEs are adequately insured, despite over 70% experiencing operational or climate-related shocks in the past three years. Our behavioral surveys showed 75% of MSMEs view insurance as discretionary cost rather than a business continuity tool.

This initiative perfectly aligns with the government's fiscal agenda. The Union Budget 2025-26 allocated ₹10,000 crores to MSMEs through expanded CGTMSE coverage. RBI's revised Priority Sector Lending norms encourage financing for high-potential MSMEs in emerging sectors. We're prototyping embedded insurance solutions with NBFC partners through our Banca channels, capitalizing on TReDS and Account Aggregator adoption.

Q With 54 million MSMEs remaining uninsured, what are NIA's specific targets and success metrics?

We've set an ambitious goal to serve at least 5 million MSMEs by FY26, targeting a premium pool of ₹1,500-2,000 crores. Even capturing 10% market share represents over 5 million new clients, given the potential annual premium pool exceeds ₹5,000 crores.

Beyond premiums, we're measuring success through insurance penetration uplift in target geographies, reduced claim settlement turnaround times, and financial inclusion metrics—particularly first-time insurees among vulnerable segments. We're tracking embedded insurance adoption and strengthening ecosystem partnerships with SIDBI, industry associations, and fintechs while improving digital sourcing capabilities.

Q How are you addressing MSMEs' perception of insurance as an "unnecessary expense"?

We're pioneering flexible, cash-flow-friendly models. We have instalment-based payments for engineering and credit insurance. We've developed 'Nishchit Suraksha,' a parametric product offering event-triggered, on-demand covers—like monsoon flood insurance during high-risk seasons.

We're exploring revenue-linked premium models and embedding insurance within working capital loans through fintech partnerships. Digital micro-policies enable MSMEs to purchase relevant coverage in bite-sized amounts via mobile apps, with flexibility to scale coverage as business needs evolve.

Q What specific initiatives target women-led MSMEs under this umbrella?

Recognizing that one-fourth of registered MSMEs are women-led, we've launched 'Mahila Udyam Bima' and 'Naari Samman' policies. These bundle fire, business interruption, burglary, and personal accident coverage with affordable premiums and simplified claims processes.

We're partnering with women's SHGs, self-help networks, and NGOs to leverage trusted community groups for awareness and enrollment. Our approach includes dedicated helplines, vernacular language apps, female insurance advisors, and targeted financial literacy campaigns.

To build trust and accessibility, we've simplified onboarding with reduced documentation and minimal underwriting. We're working with government schemes and CSR partners to offer premium subsidies and cashback incentives, making insurance truly accessible for women entrepreneurs in both formal and informal settings.